

PANEL 1/12 - THE REGULATORY-STATE QUESTION

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1991 LIBERALISATION + PRIVATE ENTRY + NETWORK INDUSTRIES

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+--> State produces less directly in some sectors
+--> private power, monopoly bottlenecks and systemic risk remain
+--> tariffs, access, prudential stability, standards and consumer rights need rules
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SPECIALISED REGULATION = rule-setting + licensing + supervision + enforcement + review

MARKET FAILURES: natural monopoly | information asymmetry | externalities | systemic risk

STATE-CAPACITY NEEDS: expertise | continuity | credible commitment | rapid updating

PRINCIPAL-AGENT CHAIN

People -> Legislature (principal) -> Regulator (agent) -> regulated entity

^ | mandate/reporting | reasons/data |
+-----+ courts/audit/Parliament <-+-----+

VERDICT: regulation is a change in the technique of government, not the retreat of government.

PANEL 2/12 - THREE AXES: SOURCE, FUNCTION, DECISIONAL CHARACTER

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BODY OR AUTHORITY

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+-- LEGAL SOURCE
| +-- constitutional: created by the Constitution
| +-- statutory: created by legislation
| +-- executive: created by resolution/order/business rules
| `-- delegated authority: constituted by notification under an Act
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+-- PRIMARY FUNCTION

| +-- policy/advice +-- regulation +-- investigation
| `-- administration   +-- enforcement      `-- adjudication
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`-- CHARACTER OF THE PARTICULAR ACT

 +-- quasi-legislative: general rule/standard
 +-- administrative: inspection, data call, policy implementation
 `-- quasi-judicial: case-specific rights/liabilities after fair procedure

TRAPS

statutory != regulatory | regulatory != always quasi-judicial
adjudicatory body != constitutional court | civil-court powers != court status
the label Commission/Authority/Board never proves source, function or remedy.

PANEL 3/12 - DESIGN AXES: DECODE ANY REGULATOR

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SOURCE -> exact Act/article/notification

MANDATE -> objective, jurisdiction and overlap

PEOPLE -> appointment, expertise, tenure, reappointment, removal

RESOURCES -> finance, staff, data and investigative capacity

NORM-MAKING -> rules/regulations, consultation, publication, legislative laying

MARKET TOOLS -> licence, tariff, access, prudential or product standards

CASE TOOLS -> inquiry, investigation, interim direction, enforcement, penalty

ADJUDICATION -> notice, hearing, evidence, reasons, recusal and speaking order

REMEDY -> review, merits appeal, onward appeal and constitutional judicial review

PUBLIC CONTROL -> reports, audit, Parliament, transparency and performance evaluation

DESIGN EQUATION

independence from case-specific pressure

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answerability through mandate, reasons, scrutiny, appeal and review

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LEGITIMATE EXPERT POWER

No single institutional template fits every sector; trace each axis to the parent law.

PANEL 4/12 - REGULATORY CYCLE AND FUNCTIONAL SEPARATION

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LEGISLATURE

- > parent Act and essential policy
- > delegated regulation / standard
- > licence, tariff, registration or access condition
- > monitoring and information collection
- > investigation / show-cause notice
- > hearing on disclosed material
- > reasoned order / civil consequence
- > statutory appeal
- > constitutional judicial review

CHARACTER CHANGES ALONG THE CYCLE

general regulation = quasi-legislative

inspection/investigation = administrative

individual penalty/cancellation/dispute order = ordinarily quasi-judicial

CONCENTRATION RISK

same institution makes rule + investigates + prosecutes + decides

- > efficiency and expertise BUT confirmation bias and self-vindication risk

SAFEGUARDS

separate teams | no investigator on deciding panel | disclosure | recusal

reasoned order | proportionate sanction | independent appellate forum.

PANEL 5/12 - DELEGATED LEGISLATION: POWER WITHOUT ABDICATION

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PARENT ACT

- > states policy, purpose and essential legislative choices
- > delegates details within standards
- > regulator follows prescribed procedure
- > publication + consultation where Act requires
- > laying before Legislature where Act requires
- > Committee on Subordinate Legislation / parliamentary scrutiny
- > judicial review for ultra vires, arbitrariness and procedural failure

EXCESSIVE DELEGATION TEST

Legislature may delegate details; it cannot abdicate the essential legislative function.

PTC INDIA v CERC (2010)

CERC regulations under Electricity Act section 178 are subordinate legislation.

APTEL may interpret/apply them in an appeal but cannot test their vires.

Validity is challenged through constitutional judicial review.

CELLULAR OPERATORS ASSOCIATION v TRAI (2016)

The call-drop compensation regulation was invalidated: statutory power, rational basis, non-arbitrariness and transparency/consultation constrain regulatory rule-making.

TRAP: consultation improves legitimacy; it does not transfer law-making power to consultees.

PANEL 6/12 - NATURAL JUSTICE AND THE ADMINISTRATIVE/QUASI-JUDICIAL LINE

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Khushaldas Advani (1950)

-> older classification asked whether the statute imposed a duty to act judicially.

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A.K. Kraipak (1969)

-> line between administrative and quasi-judicial power is thin;
natural justice prevents miscarriage where decisions affect persons.

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Gullapalli Nageswara Rao (1959)

-> biased departmental process and separation between hearing and decision can vitiate action;
the deciding authority must genuinely hear the case.

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Maneka Gandhi (1978)

-> procedure affecting liberty must be right, just and fair, not arbitrary.

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Mohinder Singh Gill (1978)

-> a public order stands or falls on reasons recorded in it;
later affidavits cannot supply a new foundation.

PROTOCOL: notice -> disclosed case -> meaningful hearing -> no bias/recusal

-> relevant evidence -> findings -> reasons -> proportionate order

LIMIT: natural justice is context-sensitive; it is not automatically a full civil trial.

PANEL 7/12 - APPEAL, REVIEW AND COURT OVERSIGHT

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STATUTORY MERITS APPEAL

- > exists only because the Act creates it
- > forum may reconsider facts, law and remedy within its appellate mandate

JUDICIAL REVIEW (Arts 226/227; Art 32 in its constitutional field)

- > tests legality, jurisdiction, fairness, reasons, arbitrariness and rights
- > ordinarily does not substitute the court's preferred tariff or economic policy

SECTOR CHAINS

SEBI order -> Securities Appellate Tribunal (SAT) -> Supreme Court on statutory route

TRAI specified dispute/appeal -> TDSAT -> Supreme Court

CERC/SERC order -> Appellate Tribunal for Electricity (APTEL) -> Supreme Court

CCI appealable order -> National Company Law Appellate Tribunal (NCLAT) -> Supreme Court

RERA Authority/adjudicating officer -> Real Estate Appellate Tribunal -> High Court

NGT order -> Supreme Court under National Green Tribunal Act section 22

CONSTITUTIONAL FLOOR

Tribunal creation does not erase High Court supervision.

Courts police legality; they do not routinely become sector regulators on merits.

PANEL 8/12 - FINANCE, TELECOM, POWER AND COMPETITION MAP

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FINANCE

RBI - RBI Act 1934 + Banking Regulation Act 1949; central banking/supervision

SEBI - SEBI Act 1992; securities market; appeal to SAT

IRDAI - IRDA Act 1999 + Insurance Act 1938; insurance regulation

PFRDA - PFRDA Act 2013; pension/National Pension System regulation

TELECOM

TRAI - TRAI Act 1997; recommendations and regulation under section 11

TDSAT - separate dispute-settlement/appellate body after 2000 amendment

POWER

CERC/SERC - Electricity Act 2003; allocated tariff, licence and grid/market fields

APTEL - appellate tribunal; CERC and SERC jurisdictions are not interchangeable

COMPETITION

CCI - Competition Act 2002; agreements, abuse of dominance and combinations

NCLAT - appellate forum for appealable CCI orders

MASTER TRAP: a regulator and its appellate tribunal are different institutions.

PANEL 9/12 - FOOD, ENVIRONMENT AND REAL ESTATE

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FSSAI

Food Safety and Standards Act 2006

- > science-based food standards + licensing/regulatory architecture
- > statutory authority; not a constitutional body or DGHS office

ENVIRONMENT

CPCB/SPCBs: Water Act 1974 + Air Act 1981

- > standards, consent, monitoring and enforcement

NGT: National Green Tribunal Act 2010

- > specialised environmental adjudication under scheduled enactments

TRAP: CPCB/SPCB regulators are not environmental courts; NGT is not the pollution regulator.

REAL ESTATE

RERA Act 2016

- > State/Union Territory Regulatory Authorities regulate projects and agents
- > adjudicating officer decides specified compensation claims
- > Real Estate Appellate Tribunal hears statutory appeals
- > High Court route under section 58 on Code of Civil Procedure section 100 grounds

TRAP: a shared statute does not make authority, adjudicating officer and tribunal identical.

PANEL 10/12 - FAILURE MODES IN THE REGULATORY STATE

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INFORMATION ASYMMETRY

industry holds technical data -> regulator depends on regulated entity -> weak challenge

CAPTURE

industry access / revolving door / cognitive alignment

political case pressure / insecure tenure

parent-ministry staffing and budget dependence

MANDATE FAILURE

multiple objectives -> unclear priority -> selective performance claims

overlap -> forum shopping, gaps, duplication and contradictory standards

REGULATORY INTENSITY

over-regulation -> entry/compliance/innovation cost

under-regulation -> unsafe products, monopoly abuse, systemic or environmental harm

PARTICIPATION FAILURE

organised firms dominate consultation; diffuse consumers lack data, time and representation

PERFORMANCE TRAP

order count, penalty total or disposal speed alone does not prove welfare, compliance or fairness.

PANEL 11/12 - DATA AND ALGORITHMIC REGULATION

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DIGITAL MARKET CHARACTERISTICS

network effects | data concentration | zero-price services | ecosystem leverage
algorithmic ranking | automated decisions | rapid product change | cross-sector harm

REGULATORY QUESTIONS

1. What is the legally defined harm?
2. Which statute and regulator have jurisdiction?
3. What data/model access is necessary and proportionate?
4. Can affected persons understand and contest the decision?
5. Are audits independent and reproducible?
6. How are competition, privacy, consumer and sector duties coordinated?

TOOLBOX

data standards | audit trails | explanation/contest routes | sandboxes where lawful
interoperability/access rules | risk-based supervision | human oversight | incident reporting

RISKS

automation bias | opaque procurement | discriminatory proxy variables | surveillance creep
regulatory arbitrage | trade-secret claims blocking scrutiny

VERDICT: regulate demonstrable risk through lawful, reviewable and technically testable duties.

PANEL 12/12 - REFORM, PYQ ROUTE AND QUALIFIED VERDICT

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REFORM PACKAGE

transparent plural appointments -> staggered adequate tenure -> defined removal
predictable funding + own data capacity -> consultation impact statements
reasoned rule-making -> functional separation where stakes require
conflict disclosure + recusal + cooling-off -> performance and CAG audit where applicable
Parliamentary scrutiny -> consumer participation/legal aid -> coherent appeal routes
coordination protocol -> periodic ex-post review and sunset/revision where appropriate

PYQ ROUTE

2018 NGT/CPCB: both statutory; tribunal adjudication != pollution regulation
2018 FSSAI: 2006 Act; statutory authority != DGHS office
2019 regulator review: parliamentary ad hoc + Department-related Standing Committees
2021 RBI: statutory source; no claimed constitutional direction provision
2023 CCI: dominance != abuse; relevant market -> conduct -> remedy -> appeal
2025 PNGRB: refining/storage/distribution + marketing/sale; production excluded

FINAL ANSWER SPINE

rationale -> source/function/act -> design axes -> fairness -> appeal/review
-> capture/capacity -> targeted reform -> qualified conclusion.

VERDICT: independent regulation means protected expert judgment under law, not government
without Parliament, reasons, appeal, audit or constitutional courts.